

AUDIT INVESTIGATION REPORT

Investigation No. INV-00325 | Type: Policy Breach Review

Investigation ID:	INV-00325
Investigation Type:	Policy Breach Review
Status:	ON_HOLD
Trigger Source:	External regulator inquiry
Lead Investigator:	James Allen (EMP-RM219)
Subject Employee:	Seth Sosa (EMP-19451)
Related Vendor:	Delta_Logistics Inc (VND-04524)
Related Transaction:	TXN-317834
Scope Period:	2021-11-14 to 2023-02-26
Created Date:	2026-01-04
Completed Date:	In Progress
Outcome:	SUBSTANTIATED

1. AUDIT QUESTION

"Are compliance records current for all vendors with active contracts?"

2. BACKGROUND

This investigation was initiated following a external regulator inquiry relating to activity associated with employee Seth Sosa (EMP-19451) and vendor Delta_Logistics Inc (VND-04524). The investigation scope covers the period 2021-11-14 to 2023-02-26 and was conducted under the authority of the Internal Audit Charter and the Fraud Risk Management Policy.

3. METHODOLOGY

The investigation team reviewed transaction records, approval workflow logs, and supporting documentation associated with Transaction ID TXN-317834 (amount 18,520.34 USD, risk score 0.54). Interviews were conducted with relevant personnel and system access logs were reviewed for the scope period.

4. FINDINGS

Finding ID	Severity	Category	Description
FND-003498	CRITICAL	EXPIRED COMPLIANCE	Vendor VND-VND-04513 received payment of \$77,564 on 2023-10-28. Compliance certificate expired on 2021-12-21 — 418 days prior.
FND-000793	LOW	VENDOR RISK	BLACKLISTED vendor VND-VND-00273 received payment of \$477,763 via contract CON-109802 that was not updated following blacklisting.

5. CONCLUSION

Based on the evidence reviewed, the allegations underlying this investigation are **SUBSTANTIATED**. The control breakdown identified poses a critical risk to the organisation and requires remediation.

6. ACTIONS TAKEN

- Vendor contract flagged for non-renewal upon expiry.
- Matter escalated to the Risk Committee for executive review.

7. SIGN-OFF

Role	Name	Employee ID	Date
Lead Investigator	James Allen	EMP-RM219	2026-01-04